

Let me show the different measured exponents for a variety of phenomena.

Let me tell you upfront that these exponents mean very little in terms of numerical precision. We will see why in a minute, but just note for now that we do not *observe* these parameters; we simply guess them, or infer them for statistical information, which makes it hard at times to know the true parameters—if it in fact exists. Let us first examine the practical consequences of an exponent.

TABLE 3: THE MEANING OF THE EXPONENT

<i>Exponent</i>	<i>Share of the top 1%</i>	<i>Share of the top 20%</i>
1	99.99% ^{*—}	99.99%
1.1	66%	86%
1.2	47%	76%
1.3	34%	69%
1.4	27%	63%
1.5	22%	58%
2	10%	45%
2.5	6%	38%
3	4.6%	34%

[Table 3](#) illustrates the impact of the highly improbable. It shows the contributions of the top 1 percent and 20 percent to the total. The lower the exponent, the higher those contributions. But look how sensitive the process is: between 1.1 and 1.3 you go from 66 percent of the total to 34 percent. Just a 0.2 difference in the exponent changes the result dramatically—and such a difference can come from a simple measurement error. This difference is not trivial: just consider that we have no precise idea what the exponent is because we cannot measure it directly. All we do is estimate from past data or rely on theories that allow for the building of some model that would give us some idea—but these models may have hidden weaknesses that prevent us from blindly applying them to reality.

So keep in mind that the 1.5 exponent is an approximation, that it is hard to compute, that you do not get it from the gods, at least not easily, and that you will have a monstrous sampling error. You will observe that the number of books selling above a million copies is not always going to be 8—It could be as high as 20, or as low as 2.

More significantly, this exponent begins to apply at some number called “crossover,” and addresses numbers larger than this crossover. It may start at 200,000 books, or perhaps only 400,000 books. Likewise, wealth has different properties before, say, \$600 million, when inequality grows, than it does